

TECHNOVA ELECTRONICS INC.

QUARTERLY INVENTORY
AUDIT MEMORANDUM

FACILITY	Austin Finished Goods Warehouse
AUDIT PERIOD	Q3 2025 (July – September)
MEMO ID	INV-AUDIT-2025-Q3-001
PREPARED BY	Warehouse Operations & Finance
DATE	October 8, 2025

TOTAL BOOK VALUE:
\$212,210

CLASSIFICATION: CONFIDENTIAL — FINANCE REVIEW

Audit Scope

This memorandum summarizes the Q3 2025 physical inventory audit conducted at the Austin Finished Goods Warehouse. The audit covers all laptop finished goods (FERT category) stored at Plant P400, Storage Location 0001. The audit reconciles physical counts against system records (SAP inventory snapshot), identifies discrepancies, and assesses inventory health for financial reporting and operational planning purposes.

Current Inventory Position (as of latest snapshot)

Product	Physical	QC Hold	ATP	Status	Book Value
TechNova EduBook 14 Laptop	69	3	69	Healthy	\$35,550
TechNova ProBook 14 Laptop	62	4	62	Healthy	\$48,960
TechNova ProBook 15 Laptop	59	7	59	Healthy	\$51,750
TechNova AirBook 13 Laptop	43	6	43	Low	\$29,150
TechNova WorkStation 16 Laptop	29	2	29	Low	\$46,800
TOTAL	262	22	247	—	\$212,210

Important metric definitions: *Physical Stock* = total units physically on shelves (includes QC hold). *QC Hold* = units quarantined for quality inspection (cannot be shipped). *ATP (Available to Promise)* = units committable to new customer orders. *Book Value* = *Physical Stock* x *Standard Price per Unit*. *Note: Warehouse measures inventory in UNITS (physical count). Finance measures inventory in DOLLARS (book value for balance sheet). Planning measures inventory in DAYS (days of inventory = stock / daily demand). All three perspectives describe the same physical stock but serve different business purposes. This is a key principle of the governed ontology.*

Audit Findings

Finding 1: Slow-Moving Inventory — AirBook 13

Current stock: 43 units | Status: Low | Days of inventory (Planning metric): 3 days. Issue: Despite being classified as “Low” stock, the AirBook 13 has the lowest demand forecast accuracy (per Planning persona data). Production has generated 1,361 good units this period with a 99.6% first pass yield, yet warehouse stock remains low due to high customer demand. **Recommendation:** Increase production plan allocation for AirBook 13 by 15%.

Finding 2: QC Hold Concentration — ProBook 15

Current QC Hold: 7 units (highest across all products). Issue: 7 units of ProBook 15 are held for quality inspection, representing 11.9% of its physical stock. Quality notifications indicate ProBook 15 had 18 final test failures during the period with an average rejection rate of 8.9%. These held units reduce effective ATP. **Recommendation:** Expedite QC clearance; coordinate with Quality team to resolve outstanding notifications within 5 business days.

Finding 3: Stockout Risk — WorkStation 16

Current stock: 29 units | Status: Low | Book Value: \$46,800. Issue: The WorkStation 16 has the lowest stock quantity and highest unit value (\$1,200 standard cost). With manufacturing yield issues (90.2% first pass yield — lowest across all models), replenishment is constrained. The low stock combined with production deviations (see PDR-2025-08-001) creates a stockout risk within 10–14 days at current demand rates. **Recommendation:** Expedite 2 production batches; consider temporary allocation hold for non-priority customer orders.

Finding 4: Cycle Count Discrepancy

During physical count, 3 units of EduBook 14 were found in incorrect storage bin (Bin A-14 instead of Bin B-22). System records were accurate but physical placement was wrong. No financial impact but potential for mis-picks during order fulfillment. **Recommendation:** Warehouse team to conduct bin verification sweep.

Financial Analysis

Inventory Valuation Summary

Total Book Value: \$212,210. Valuation Method: Standard Cost. Standard costs last updated: Q2 2025.

Product	Standard Cost per Unit
ProBook 15 (highest margin product)	\$750
ProBook 14	\$680
AirBook 13 (best-selling model)	\$550
EduBook 14 (education segment)	\$450
WorkStation 16 (premium workstation)	\$1,200

Inventory Turns Analysis

Warehouse perspective (physical movement based): average turns across laptops are 9.0–10.0x annually. Highest: EduBook 14 at 10.0x (high volume, fast moving). Lowest: AirBook 13 at 9.0x.

Finance perspective (book-value based, typically lower): average turns 6.0–7.5x annually. The difference is because Finance uses landed cost basis while Warehouse uses physical movement. Both are correct for their respective purposes — this is a key ontology disambiguation.

Write-Off & Provision Recommendations

- No obsolescence write-off required (all products currently selling)
- Provision for QC hold units: \$15,400 (22 units at weighted avg cost) — these may be released or scrapped pending Quality team resolution
- Slow-moving provision: None required (all products within 30-day turns)

Landed Cost vs Standard Cost Note

Finance calculates landed cost = materials + labor + freight + duty. For a ProBook 15 battery laptop:

Cost View	Amount	Notes
Procurement cost (PO price)	\$400	—
Manufacturing cost (materials + labor)	\$450	—
Landed cost (Finance view)	\$480	Adds \$20 freight + \$10 duty
Standard cost (Warehouse valuation)	\$750	Includes overhead allocation

The standard cost used for inventory valuation is HIGHER than landed cost because it includes manufacturing overhead and margin allocation.

Recommendations & Sign-Off

1. Replenishment Priorities

- URGENT: WorkStation 16 — trigger 2 production batches of 20 units each
- HIGH: AirBook 13 — increase monthly production plan by 15%
- MONITOR: ProBook 15 — resolve QC hold before requesting production

2. QC Hold Resolution

- 22 units currently in QC hold across all products (value: \$15,400)
- Coordinate with Quality Manager to disposition within 10 business days
- If units are scrapped, Finance to process write-off in October close

3. Warehouse Operations

- Complete bin verification sweep by October 15
- Implement barcode scan verification at put-away step
- Review picking sequence to reduce mis-picks

4. Inventory Policy Review

- Current safety stock levels may be insufficient for premium models
- Propose increasing WorkStation 16 safety stock from 25 to 40 units
- Propose increasing AirBook 13 safety stock from 40 to 55 units

5. Cross-Functional Alignment

- Share this memo with Planning Manager for production adjustment
- Share QC hold details with Quality Manager
- Share financial impact with Finance Manager for Q3 close

Next Audit: January 2026 (Q4 2025 audit)

Approved

Warehouse Manager: _____ Date: _____

Finance Controller: _____ Date: _____

VP Supply Chain: _____ Date: _____